

Customer Service Agreement - Operating Procedure

Costco Wholesale - Business Center Refrigeration

SOP Number:	CST-0017
Customer Type:	Warehouse Retail
Region:	Western US Business Centers
Contract Term:	Jan 1, 2025 - Dec 31, 2025
Sites Covered:	5 location(s)
Primary Contact:	Linda Ostrowski, Sr. Facilities Engineer l.ostrowski@costco.com
Billing Contact:	facilities.payables@costco.com
TAG Account Manager:	Dana Kowal
Monthly Contract Fee:	\$7,400/month (flat rate)

1. Purpose & Scope

This document summarizes the agreed service terms, billing rules, and field procedures governing Arcticom's refrigeration and mechanical services for Costco Wholesale - Business Center Refrigeration. Field technicians, dispatch, and billing staff must reference this SOP before dispatching or invoicing on any Costco Biz Centers work order.

This SOP supplements the executed Master Service Agreement (MSA) on file. In the event of any conflict between this SOP and the MSA, the MSA controls. Questions about scope or billing must be directed to the account manager before work is performed.

2. Preventive Maintenance Schedule

PM Frequency:	Monthly
PM Scope Summary:	Monthly PM on heavy-use commercial refrigeration; business centers have more intensive refrigeration than standard Costco

Included PM Tasks:

- Monthly PM on all rack systems, walk-ins, and display cases
- Monthly condenser coil blow-off; quarterly evaporator wet-wash
- Inspect and replace door gaskets as needed (included)
- Refrigerant top-off per included allowance
- Defrost heater inspection; standard voltage replacements included
- Log all findings in Costco Facilities portal and TAG portal
- Provide monthly energy usage summary for each site

3. Trip Charges

NOTE: BILLING STAFF: Trip charges are billable on Costco Biz Centers work orders. See rates below.

Standard Trip Charge:	\$175 per dispatch (Mon-Fri, 7 am - 5 pm)
After-Hours Trip Charge:	\$290 per dispatch (evenings, weekends, holidays)
Emergency Waivers:	First 4 emergency call(s) per contract year - trip charge waived
Emergency SLA:	On-site response target: 2 hours
Warranty Callbacks:	Trip charge waived if callback within 30 days of prior repair on same unit

Trip charges (where applicable) appear as a separate line item on the invoice. Use billing code TC-STD (standard hours) or TC-AH (after-hours) in ServiceMax.

4. Refrigerant Policy

Included Allowance:	R-448A included up to 3 lbs; large rack systems may require additional - quoted at \$18/lb over allowance
Coil Cleaning:	Included - monthly condenser; evaporator quarterly
Door Gaskets:	Included
Defrost Heaters:	Included for standard voltage; high-voltage (480V) elements billed T&M
After-Hours Calls:	Emergency calls covered under waiver; after waiver exhaustion trip charge applies

Refrigerant usage beyond the included allowance is billed at Arcticom current commodity rate plus applicable handling fee. Technician must document all refrigerant additions on the service ticket and in ServiceMax, including refrigerant type, quantity, and unit ID.

5. Non-Covered / Billable Items

The following are NOT included in the contract and must be invoiced at standard T&M rates unless a separate written agreement covers them:

- Tire center and auto department equipment
- Optical and hearing aid center equipment
- Bakery production equipment (ovens, mixers)
- HVAC warehouse ventilation (separate contractor)

For any work outside the contracted scope, obtain written approval from the primary contact (Linda Ostrowski) before beginning work. Estimates over \$500 require written customer sign-off prior to scheduling.

6. Labor Rates (T&M Work)

Rate Type	Hours / Conditions	Rate
Standard Labor	Mon-Fri, 7 am - 5 pm	\$112/hr
Overtime Labor	Mon-Fri, 5 pm - 10 pm	\$148/hr
Weekend / Holiday	Sat, Sun, observed holidays	\$168/hr
Emergency Premium	Any day, midnight - 6 am	\$195/hr
Apprentice Rate	Supervised apprentice on job	\$78/hr

Minimum charge: 1 hour on all T&M dispatches. Time billed in 15-minute increments thereafter.

Repair estimates over \$500 require written approval from Linda Ostrowski before work begins. Emergency repairs are exempted from pre-approval but require post-work documentation and notification.

7. Dispatch & Work Order Procedures

Scheduling PM Visits

- PM coordinator contacts Linda Ostrowski minimum 5 business days in advance
- Customer requires minimum 48-hour confirmation before technician on-site
- Log all PM visits in ServiceMax and customer's facilities portal
- PM report emailed to customer contact within 24 hours of visit completion

Service Call (Reactive) Dispatch

- Log all service requests in ServiceMax within 15 minutes of receipt
- Emergency (P1) calls: notify Linda Ostrowski via email within 30 minutes of dispatch
- Obtain customer PO or written approval for all T&M work over \$300 before starting
- Do not provide customers with direct technician cell phone numbers

8. Billing & Invoicing Rules

Invoice Cycle:	Monthly flat fee on 1st of month; T&M within 5 business days of close
Invoice Delivery:	Email to facilities.payables@costco.com with PDF work order attached
PO Requirement:	All T&M invoices must include customer PO number
Line Item Format:	Separate lines for labor, trip charge, parts, refrigerant
Payment Terms:	Net 30; 1.5%/month late fee after 45 days

9. Customer-Specific Requirements & Notes

Vendor Compliance

Costco maintains a strict vendor compliance program. All TAG technicians must have current Costco vendor registration in their system. Annual reregistration required in January.

Dual Portal Requirement

All service records must be in both ServiceMax and the Costco Facilities portal within 4 hours of job completion (not 24 hours - Costco SLA is tighter).

No Subcontractors

Costco does not allow subcontractors on-site. All TAG technicians on Costco work orders must be direct W-2 employees.

10. Escalation & Contact Directory

Role	Name	Title	Email / Contact
Primary Facilities	Linda Ostrowski	Sr. Facilities Engineer	l.ostrowski@costco.com
Billing / AP	AP Department	Accounts Payable	facilities.payables@costco.com
TAG Account Manager	Dana Kowal	The Arcticom Group	See ServiceMax
TAG Dispatch (24/7)	Dispatch Center	Emergency & Scheduling	dispatch@arcticomgroup.com

11. Document Control

Document Owner: Dana Kowal, The Arcticom Group

Review Cycle: Annual (upon contract renewal) or when MSA terms change

Distribution: Field technicians, PM coordinator, billing staff, dispatch team

This document is for internal Arcticom Group use only. It summarizes but does not replace the executed MSA on file. Field staff with questions about scope or billing should contact the account manager before performing or invoicing any work.